

Lecture 9 – Economics and Business Administration
Introduction to Accounting

Agenda

1. Information needs and the concept of economic sustainability
2. The General Accounting System
3. Accounting Principles
4. Financial Statements
5. Double-entry system: an example
6. Values: monetary and non-monetary
7. Appendix: additional insights

Information needs and economic sustainability

- All stakeholders who, in various ways, participate in the life of the firm and contribute to its economic activity have the right and the duty to know the results achieved and **the firm's prospects in terms of economic sustainability**
- The need for information on business performance is also essential for those responsible for making **strategic decisions** and managing the firm
- To assess whether business operations have been carried out in an economically efficient and sustainable manner, it is necessary to measure and analyze the firm's economic performance over time, that is, to **evaluate its economic sustainability**
- Economic sustainability can be assessed through the **financial statements model**, developed in the fifteenth century with the double-entry bookkeeping method introduced by the Italian mathematician Luca Pacioli

Business Equilibrium

The objective of the general accounting system is to provide **information on the firm's economic performance and financial position**

- What is the firm's capital/value at a given point in time? ➔ **BALANCE SHEET**
- What is the result of the firm's productive activity over a given period? ➔ **INCOME STATEMENT**
- Does the firm generate sufficient cash flows to continue operating? ➔ **CASH FLOW STATEMENT**

These objectives reflect the three dimensions used to assess business equilibrium

1. **SOLVENCY EQUILIBRIUM** → The firm's ability to remain in operation over time
2. **PROFITABILITY EQUILIBRIUM** → the adequacy of revenues (in quantitative and qualitative terms) to remunerate all production factors
3. **FINANCIAL EQUILIBRIUM**→ The firm's ability to meet its financial obligations in a timely and sustainable manner



The General Accounting System: Logic and Functioning

General accounting

Definition: a system of accounting records based on the **double-entry** bookkeeping method, used to record all business transactions

Objective: **net income for the period**, **the firm's capital** (equity and assets), cash flows (CFs) ➔ serving the purpose of **external accountability**

The **annual financial statements** provide information on:

- *Economic performance*
- *The structure and composition of the firm's assets and equity*
- *The firm's financial position*

Users: all **stakeholders**

Standards: **Italian Accounting Standards** (OIC, according to the Italian Civil Code) or **IAS (International Account Standards) / IFRS (International Financing Reporting Standards)**

General accounting: the Italian Regulation – National Standard

Two distinct accounting regimes apply:

1. **Italian accounting standards** (OIC)
   - Based on: the Italian Civil Code, artt. 2423-2435-ter c.c.
   - The standards issued by the Organismo Italiano di Contabilità (OIC)
   - Mandatory for: all companies not required to apply IAS/IFRS (unless they opt voluntarily)

- Expected formats:
  - Full financial statements
  - Abbreviated financial statements (art. 2435-bis c.c.)
  - Financial statements for micro-entities (art. 2435-ter c.c.; micro-enterprises: companies that do not exceed specific size limits with simplified regulations)

Valuation criteria are defined in Article 2426 of the Italian Civil Code

General accounting: the Italian Regulation – National Standard

2. International accounting standards (IAS/IFRS)

- Issued by the IASB (International Accounting Standards Board)
- Adopted in the European Union through Regulation (EC) No.1606/2002
- Mandatory for:
  - **Listed companies** on regulated EU markets (at least for consolidated financial statements)
  - **Banks, insurance companies, and financial institutions,** according to specific regulations
- Other companies may voluntarily adopt IAS/IFRS for their separate financial statements, within the limits set by national law
- Composition:
  - IAS (standards issued before 2001, and still in force)
  - IFRS (International Financial Reporting Standards) (issued after 2001)
  - Official interpretations (SIC/IFRIC)

General accounting: advantages IAS/IFRS

- **Analysts and investors**: international comparability, lower analysis costs, greater transparency, and understandability
- **Issuing companies**: lower reconciliation costs, easier access to capital markets, support for international and globalization
- **Auditors**: internationally recognized competencies and more efficient audit procedures
- **Developing countries**: no cost to develop national standards and increased ability to attract foreign investors.

General accounting: IAS/IFRS, which companies are interested?

Type of companies	Separate financial statements	Consolidated financial statements
Listed companies Banks Financial institutions Financial intermediaries subject to supervision	IAS/IFRS mandatory since 2005	Optional IAS/IFRS since 2005 IAS/IFRS mandatory since 2006
Insurance companies	IAS/IFRS mandatory since 2005	IAS/IFRS mandatory since 2006, only for the listed companies that do not draft the consolidated financial statement Excluded for IAS/IFRS in the other cases
Consolidated companies and other companies preparing consolidated financial statements (excluding minor companies[1])	Optional IAS/IFRS since 2005	Optional IAS/IFRS since 2005
Companies other than the above (excludeng minor companies)	-	IAS/IFRS optional from the moment of adoptionof an implementing decree by the Minister of Economy and Finance and the Minister of Justice
Minor companies (ex Article 2435-bis of the Italian Civil Code)	Excluded from IAS/IFRS	Excluded from IAS/IFRS

[1]The term “Smaller companies” refers to companies that, pursuant to Article 2435-bis of the Italian Civil Code, may prepare their financial statements in abbreviated form. This refers to companies that "in their first financial year or, subsequently, for two consecutive financial years, have not exceeded two of the following limits: (a) total assets in the balance sheet: €3,125,000; (b) revenues from sales and services (turnover): €6,250,000; (c) average number of employees during the financial year: 50. (source: www.governo.it).

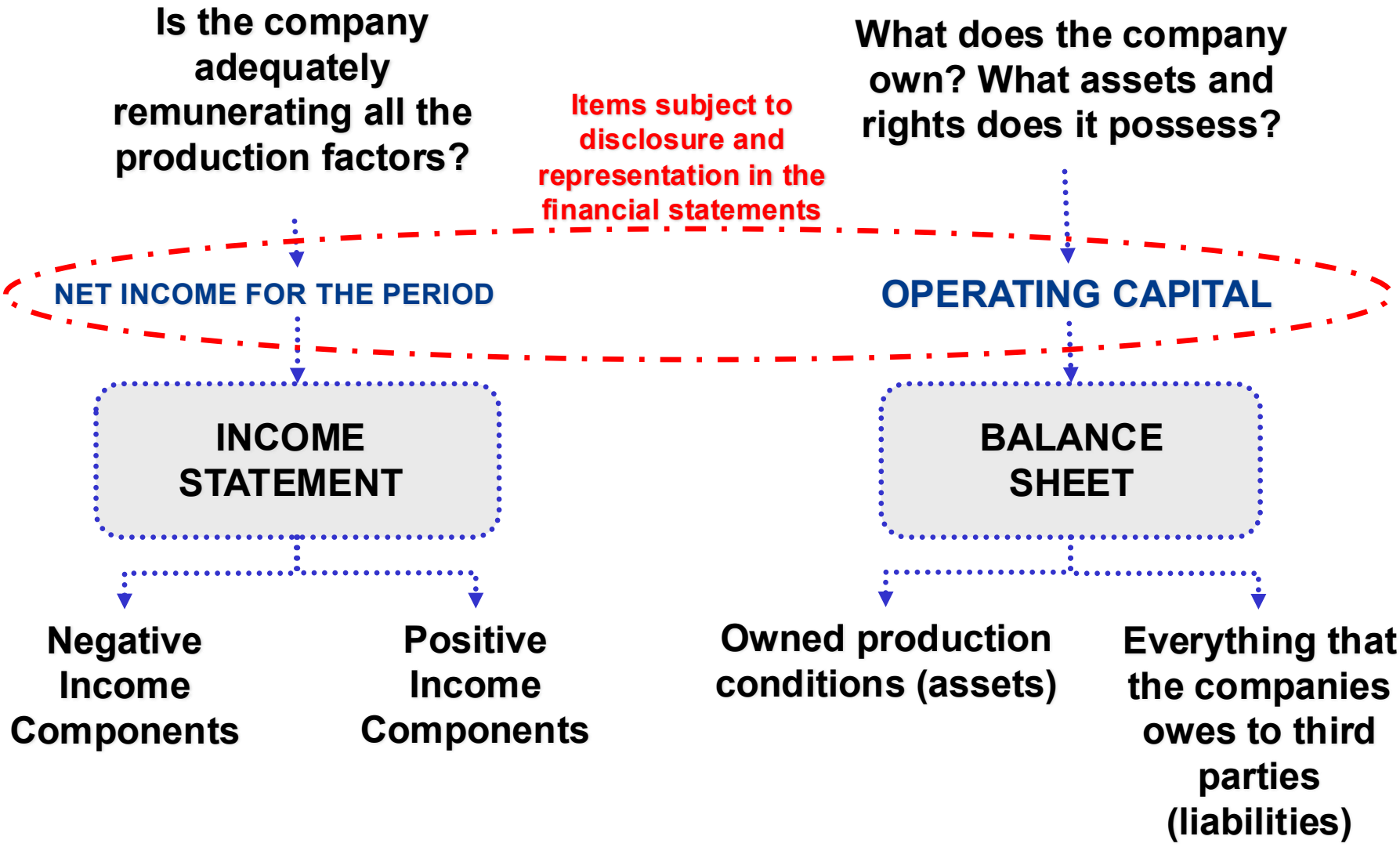
The Consolidated Financial Statements

- The consolidated financial statements are accounting documents that present the financial position, financial and economic situation of a **group of companies** as if it were **a single entity**
- The group is composed of a **parent company**, and one or more **subsidiaries**

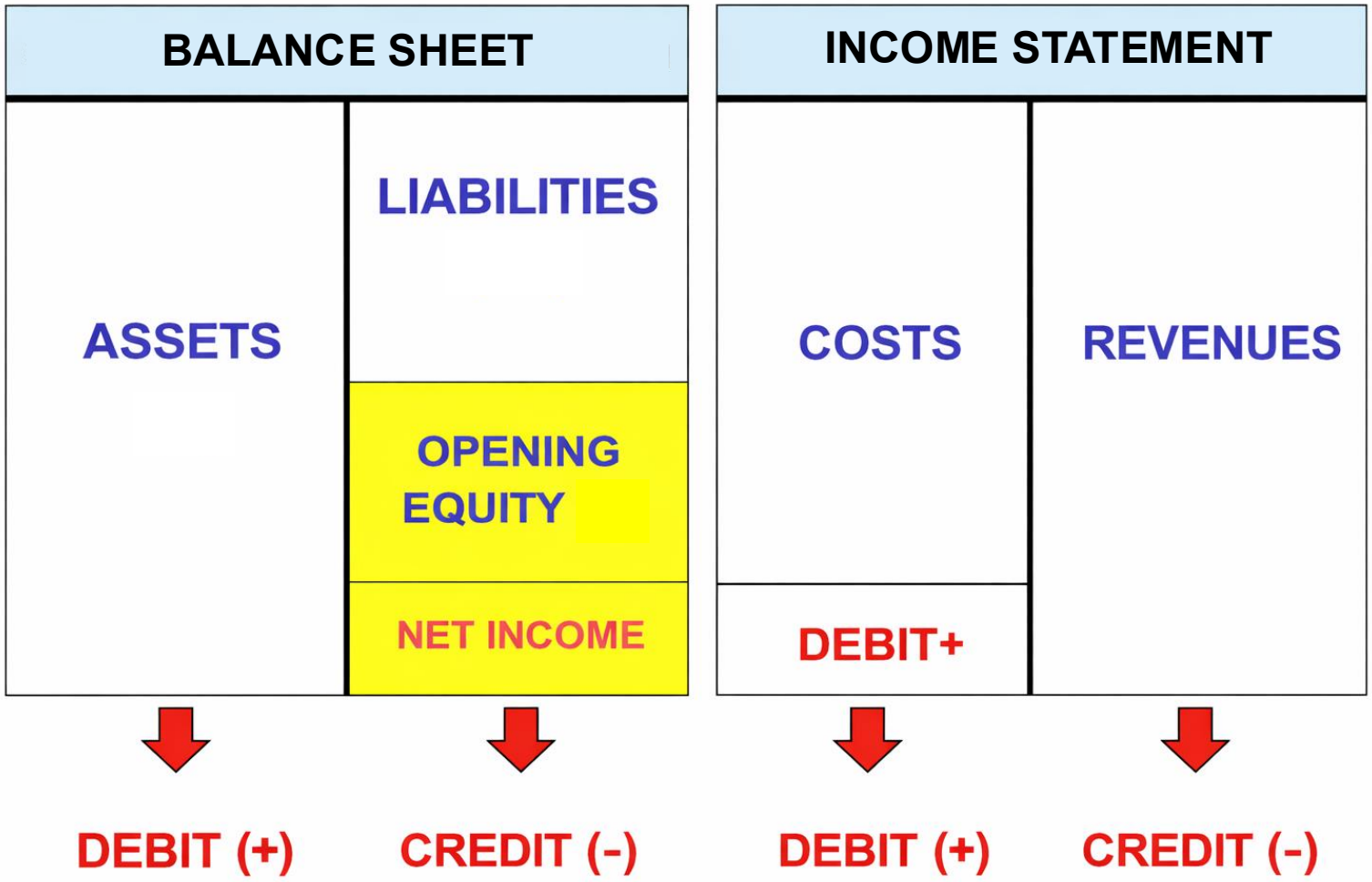
- The consolidated financial statements **combine and aggregate the financial data of all companies within the group**, eliminate intra-group transactions (transactions between group companies), to show only transactions with third parties.
  - They provide a complete and reliable overall view of the economic and financial situation of the group
  - They help shareholders, creditors and stakeholders assess the overall economic health of the group
- For **non-listed Italian companies and groups**, **national accounting standards apply** (OIC 17), which regulate the preparation of consolidated financial statements in accordance with the Italian Civil Code.

- For **listed companies** or companies required to adopt IFRS, consolidated financial statements are prepared in accordance with **international accounting standards (IFRS 10)**, which define the concept of control

The Financial Statements Model



The General Accounting System: the output



The General Accounting System: operating conditions

- With reference to a given point in the company's life, the **financial position** of a firm is expressed as follows:

$$Assets = Liabilities + Stockholders\ Equity$$

- If a given time period of the company's life (accounting period) is considered, the equation evolves as follows:

$$Assets = Liabilities + Stockholders\ Equity \pm Profit\ (Loss)\ for\ the\ period$$

- In other words, opening equity changes according to the income earned during a given period of time::
  - ✓ if revenues are greater than costs, equity increases;
  - ✓ if revenues are lower than costs, equity decreases.
- Therefore, assuming a positive economic result:

$$Assets = Liabilities + Stockholders\ Equity + Revenues\ - Costs$$

- It follows that the system sums to zero:

$$Assets - Liabilities - Stockholders\ Equity - Revenues + Costs = 0$$

The general accounting system: time aspects

- The starting assumption is that companies have a **long-term life**, that is, they are established without a predetermined time limit
- To carry out a periodic measurement of performance, the company's **overall activity**, that is, the set of operations carried out throughout its entire life, is divided into **partial periods** lasting one year
- For example, the 2025 financial statements include all management operations carried out during 2025
- Usually, the accounting period coincides with the calendar year (from January 1 to December 31).
- The Balance Sheet includes **"stock values"**, that is, values referring to a specific point in time (typically December 31)
- The Income Statement includes **"flow values"**, since they refer to a period of time (an accounting period lasting one year)

The General Accounting System: measurement logics of company results

- The acquisition of inputs and the sale of outputs **do not take place instantaneously**

- There is a **time lag between the operating cycle and the accounting period**, mainly due to:
  - ✓ **Fixed Investments**
  - ✓ **time misalignment in the company's current cycle.**

- Two Logics:
  - **Accrual-based (Economic) perspective,** focuses on:
    - the SALE OF PRODUCTS, and
    - the USE OF RESOURCES
  - **Cash-Based (Financial) perspective:**
    - inputs and outputs are translated into **cash flows**

The General Accounting System: time lag in the current business cycle

Time lag between economic and financial flows in the active and passive cycles

ACTIVE CYCLE→ Sales

Economic logic

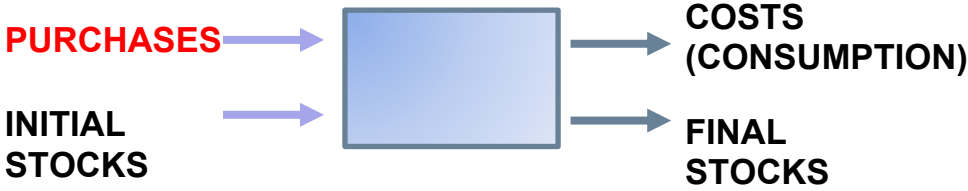


Financial logic



PASSIVE CYCLE→ Purchases

Economic logic



Financial logic





Accounting Principles

Accounting principles

- **Accounting principles** are rules that establish:
  - which facts must be recorded,
  - how management operations must be recorded,
  - the valuation criteria and the presentation of financial statement items.
- General accounting principles [Art.2423-bis]:

1. **Prudence** ➔ losses and expenses are recorded even if uncertain and only presumed/probable, and positive components are recorded only if actually and definitively realized at the end of the financial year (realization principle). Risks and losses must be taken into account even if they become known after the end of the financial year

Expected profits should not be included in the financial statements. Presumed losses should be included in the financial statements. As can be seen, this principle establishes an asymmetry in the treatment of positive and negative income components

2. Operational outlook ➔ **directors must highlight the company's ability to continue to carry out its activities in a regular manner or, conversely, any facts or conditions that could compromise its future operations**

The company's financial statements year after year must be based on the **assumption that the company will continue to operate***; i.e., assessments must be made based on forecasts of future actions with a view to keeping the company in business, rather than liquidating it*

3. Prevalence of economic substance over legal form ➔ Greater attention is paid to the economic reality of the transaction than to its formal aspects.

E.g. finance lease agreement. If the lease transaction is recorded in the financial statements using the asset-based method, i.e. the legal form prevails, the asset is recorded in the balance sheet of the lessor; if it is recorded using the financial method, i.e. substance prevails over form, the asset transferred is recorded in the balance sheet of the lessee.

4. Economic competence ➔ Expenses and revenues must be taken into account, regardless of payment and collection**, only if they are economically attributable to the financial year.**

- accrued costs are those incurred during the financial year relating to goods and services used during the period in question.
- revenues are recognized when they are accrued during the financial year and the related costs have been incurred.

In the income statement, only **costs and revenues that refer to and have an effect in that period of time** can be recorded, regardless of financial events that have already occurred or are yet to occur

5. Separate assessment ➔ Heterogeneous items grouped under individual headings must be valued separately. This principle must be applied to balance sheet items belonging to different categories, such as:

- Research, development, and advertising costs
- Plants and machinery
- Remaining stock with different prices

A single value may be shown in the financial statements, but this value must be derived from the individual items that make up the item.

6. Consistency in accounting criteria ➔ The accounting policies cannot be changed to prevent them from varying from one financial year to another depending on convenience, as well as to ensure the comparability of financial statements over time and between companies in the same sector

However, it is possible to derogate from this principle, but **adequate justification must be provided in the Notes to the Financial Statements**. The notes must justify the derogation and indicate its **influence on the presentation of the financial position and results of operations**

7. Neutrality ➔ since the budget is aimed at a wide range of recipients, it must be based on independent and impartial accounting principles without favoring the interests and needs of particular groups of people

The financial statements are not neutral if, through the choice of information or its presentation, they are capable of influencing the decision-making or judgment process in order to obtain a predetermined result or outcome.

E.g.: R&D items can be accounted for in the income statement or in the balance sheet and may therefore reduce profits or not; the choice of where to place them must be sensible.



Financial Statements

Financial Statements documents

Mandatory documents:

- Income Statement
- Balance Sheet
- Cash Flow Statement
- Notes to the Financial Statements
- Statement of Changes in Equity

Other documents:

- Management Report

Income Statement

- The income statement:
  - Presents the **economic flows** affecting the company during an accounting period
  - It determines the company's **profit for the period** as the difference between revenues and costs of the period
  - It shows whether, and to what extent, the company remunerates the invested capital

The profit for the period is represented as:

Profit for the period = (revenues − costs) recognized in the period

Income Statement

- The Income Statement is a table designed to **compare**:
  - the value of **INPUTS** used or absorbed in the economic activity, and
  - the value of **OUTPUTS** generated by the economic activity.
- The analysis of these values makes it possible to measure the company's **economic result**, that is, the **profit** or **loss** for the period.

INCOME STATEMENT

Value of INPUTS consumed/absorbed during the period	Value of OUTPUTS generated during the period

Income Statement: Inputs and Negative Income Components

Input classes	Corresponding negative income components
Remaining amounts from fiscal year n-1 re-entered as inputs in fiscal year n	Opening inventory
"Single-use" (non-multi-year) production factors	Raw materials cost
Repeated-use (multi-year) production factors not owned	Rent expense for the period; Lease payments
Repeated use (multi-year) production factors owned	Depreciation rates for fixed assets (tangible and intangible)
Labour	Salaries, contributions, and severance pay
Coverage of specific risks	Insurance premiums
Pubic goods	Miscellaneous taxes and income taxes
Loan capital	Interest expense on current account; Interest expense on mortgages and any other loans
Sale of a fixed asset at a price lower than its "book value"	Capital losses arising from the disposal of "fixed assets"
Venture capital	Operating profit
	Total value of negative income components

Income Statement: Output and Positive Income Components

Output Classes	Corresponding positive income components
Finished goods sold on the market	Revenues
Finished products (or work in progress) awaiting sale	Closing inventory
Use of real estate loaned to third parties	Rental income
Use of (excess) capital lent to third parties	Interest income on bank current accounts, government bonds, debt securities
Use of capital for the purchase of shares or stock in other companies	Dividends and capital gains (losses)
Sale of a fixed asset at a price higher than its "book value"	Capital gains arising from the sale of "fixed assets"
	Total value of positive income components

Balance Sheet

- The **balance sheet** is a table designed to organize:
  - all the **production conditions** owned by the firm at a given moment (assets);
  - all the **obligations and commitments** toward the parties that have provided funds (liabilities);
- The obligations toward equity holders are called **equity (net assets)**.
- The total value of assets is always equal to the total value of liabilities plus equity

Assets	Liabilities & Equity
Value of everything (goods, receivables, and other activities) that the company owns	Value of everything that the companies owe to third parties (liabilities) Value of everything attributable to stockholders

Balance Sheet: Assets, Liabilities, and Equity

ASSETS

Current Assets

- Cash and cash equivalents
- Trade receivables
- Ending inventories
- Prepaid expenses and accrued income

Non-Current Assets

- Property, plant and equipment (PP&E)
- Intangible assets
- Financial fixed assets (equity investments)
- Accrued expenses and deferred income

TOTAL ASSETS

LIABILITIES & EQUITY

Current Liabilities

- Trade payables
- Tax payables
- Bank overdrafts / Short-term loans
- Other current liabilities

Non-Current Liabilities

- Bank loans
- Other borrowings
- Employee severance indemnity (TFR)

Equity

- Share capital
- Retained earnings
- Profit (or loss) for the period

TOTAL LIABILITIES & EQUITY

Balance Sheet: Assets, Liabilities, and Equity

Classes of assets	Classes of obligations toward categories of subjects	Corresponding items of liabilities and equity
Cash and cash equivalents	Obligations toward suppliers	Trade payables
Accrued expenses and deferred income		
Trade receivables	Obligations toward providers of loan capital	Bank overdrafts
Bank loans		
Other borrowings		
Ending inventories	Obligations toward the State	Tax payables
Property, plant and equipment	Obligations toward employees	Employee severance indemnity (TFR)
Intangible assets		
Financial fixed assets (equity investments)	Obligations toward providers of risk capital	Share capital
Profit (or loss) for the period		
Retained earnings from previous years		
Bonds and shares (other than equity investments)		
Accrued income and prepaid expenses		
Total value of assets		**Total value of liabilities and equity**

The Financial Statement

It highlights **cash flows** during the financial year:

Cash at BoP (Beginning of the Period)
+ Cash inflows
- Cash outflows
= Cash at EoP (End of the Period)

It allows us to understand the **self-financing capacity** of individual companies.

Provides information on cash flows arising from:

- **Operating activity**
- **Investment activity**
- **Financing activity**

The Explanatory Notes

- **Quali-quantitative** document
- Purpose:
  1. **Explicative** → to explain the valuation criteria applied
  2. **Descriptive** → to provide details on items summarized in the financial statements.
  3. **Informative / Integrative** → To provide information on data that, by their nature (qualitative or off-balance-sheet), are not included in the Balance Sheet or in the Income Statement (former memorandum accounts)
     - **GUARANTEES PROVIDED** (endorsements, mortgages, etc)
     - **COMMITMENTS** that, by their nature or amount, could significantly affect the company's economic situation;
     - **CONTINGENT LIABILITIES** i.e., situations that are uncertain at the reporting date but could generate a potential loss.

The statement of changes in shareholders' equity

The Statement of Changes in Shareholders' Equity is a document **required under IAS/IFRS (IAS 1)** and also provided for by Italian national accounting standards (OIC)

Objective → to provide detailed information on transactions that directly affect equity and that do not always appear in the Financial Statements

- changes due to impairment of non-current assets
- fair value changes not recognized in the income statement

It includes information on:

- The **profit or loss** for the period;
- **income and expenses** recognized directly in equity;
- the **overall effect of changes in accounting policies** and the correction of prior-period errors;
- **transactions** with shareholders (capital increases, dividend distributions, other equity movements)

Statement of Changes in Equity: example

	Share Capital	Retained Earnings	Net Income	Total Equity
Balance at Jan 1, Year N	100,000	45,000	—	145,000
Allocation of prior year net income	—	18,500	(18,500)	—
Dividends paid	—	(5,000)	—	(5,000)
Capital increase	20,000	—	—	20,000
Net income for the year	—	—	22,000	22,000
Balance at Dec 31, Year N	**120,000**	**58,500**	**22,000**	**182,000**

Management Report

- The Management Report serves as a **complement** to the financial statements, providing additional information on:
  - **Events** that characterized management during the year;
  - Foreseeable **evolution** of the company's operations;
  - **Relationships** with group companies;
  - **Research and development** activities;
  - Other information aimed at protecting third parties (e.g., risk management policies)

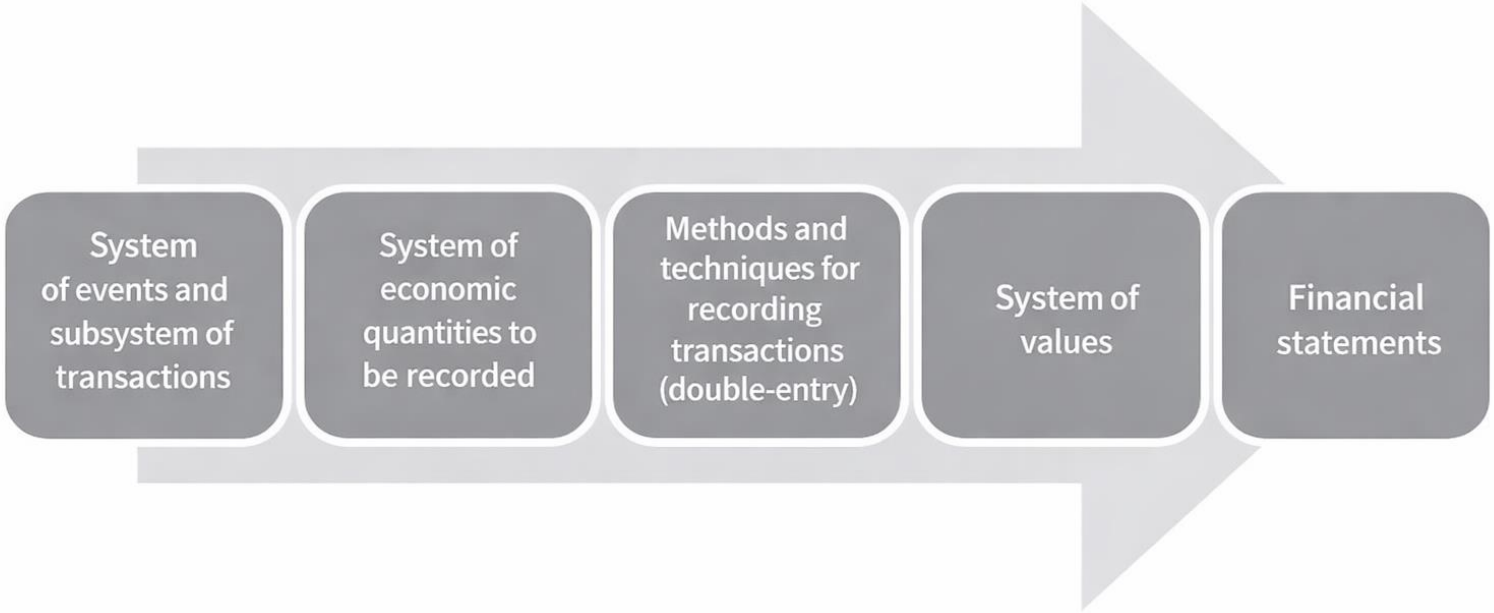
In Italy, the Management Report is **mainly mandatory** for:

- Listed companies;
- Companies that prepare consolidated financial statements;
- Certain large companies, as provided by the Italian Civil Code (Art. 2428)



Double-Entry Accounting System: an example

Double-entry bookkeeping: the construction of the financial statements



- The **double-entry method** requires that, in order to record a transaction in accounting, two equal amounts must be recorded in two different accounts of the Income Statement and/or the Balance Sheet: one in **Debit** and the other in **Credit**.
- In fact, just like the Income Statement and the Balance Sheet, the individual accounts also **have two opposing sides**:
  - on the left, the **Debit** side,
  - on the right, the **Credit** side.

Double-entry bookkeeping and value recording

- **Accounts operate in an opposite manner** (they record changes of opposite sign in opposite sections)
- Every transaction has a **dual aspect.** For each event, two sets of accounts are affected **simultaneously and in opposite directions**.
  - *The first change is recorded in one section of an account (**Debit or Credit**)*
  - *The second change is recor ded in the **opposite section of a different account***
- **As a consequence:**
  - The **total of all debit entries** must equal the **total of all credit entries**
  - The **sum of all debit balances** must equal the **sum of all credit balances**

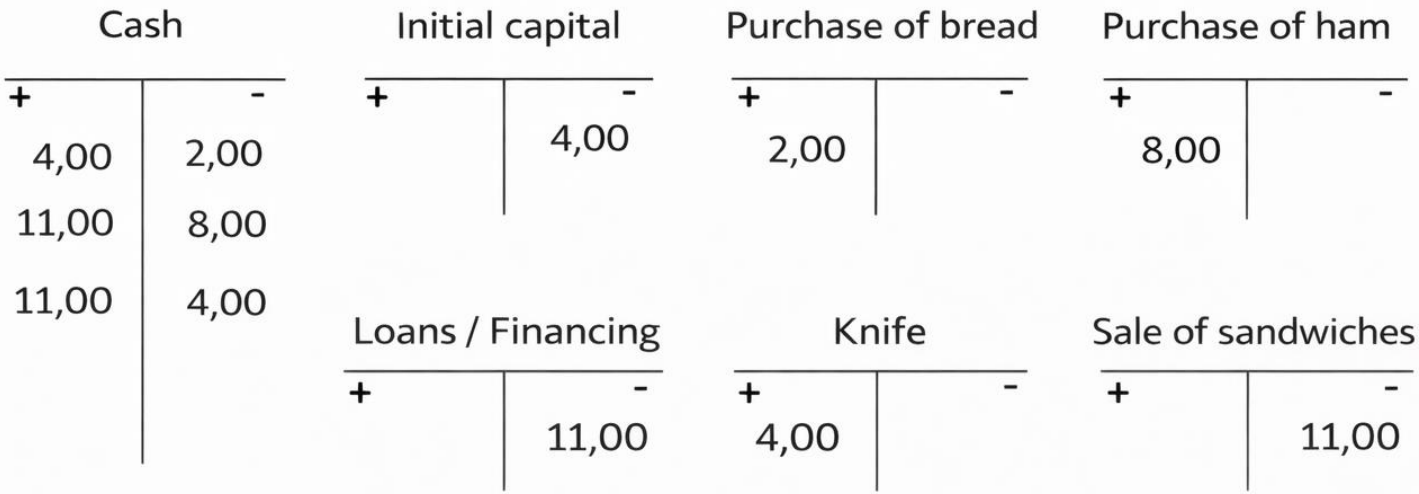
Double-entry bookkeeping: example

- Pierino decides to start selling sandwiches at the football stadium in the city where he lives; he convinces a friend to take part in the initiative by putting his savings into a special piggy bank tied to this activity. Pierino and his friend each invest €2.00: a company is born with two partners owning 50% each and with an initial capital of €4.00
- Pierino then goes to the baker and buys some bread rolls, paying €2.00
- Realizing that the initial funds are not enough to continue the business, Pierino turns to his father and obtains a loan of €11.00
- With the money received, Pierino goes to the butcher and buys cured ham (of mediocre quality) worth €8.00
- That same day, Pierino prepares some ham sandwiches, encountering quite a few difficulties because he lacks a knife to cut the rolls in half
- Pierino and his partner then decide to buy a knife worth €4.00 to improve the quality of their product
- Once production is finished, Pierino sells the sandwiches to two fans and collects €11.00 in cash

Double-entry bookkeeping: solution: journal entries

#	Transaction	Account	Debit (€)	Credit (€)
1	Partners invest capital	Cash	4.00	
		Share Capital		4.00
2	Purchase bread (cash)	Purchases – Bread	2.00	
		Cash		2.00
3	Loan from father	Cash	11.00	
		Loan Payable		11.00
4	Purchase ham (cash)	Purchases – Ham	8.00	
		Cash		8.00
5	Purchase knife (cash)	Equipment – Knife	4.00	
		Cash		4.00
6	Sales revenue	Cash	11.00	
		Sales Revenue		11.00

Double-entry bookkeeping: solution



Accounts description	**Debit (+)**	**Credit (-)**	**Balance**
Cash	26,00	14,00	12,00
Initial capital		4,00	-4,00
Purchase of bread	2,00		2,00
Purchase of ham	8,00		8,00
Loans/Financing		11,00	-11,00
Knife	4,00		4,00
Sale of sandwiches		11,00	-11,00
	40,00	**40,00**	**0,00**

Double-entry bookkeeping: solution

Cash (BS)

+	-
4,00	2,00
11,00	8,00
11,00	4,00
26	14
	12

Initial Capital(BS)

+	-
4	4,00

Purc. bread (IS)

+	-
2,00	2

Purchase ham (IS)

+	-
8,00	8

Financing (BS)

+	-
11	11,00

Knife (IS)

+	-
4,00	4

Sale of sandwiches (BS)

+	-
11	11,00

+ Balance Sheet -			
Cash	12	Initial Capital	4
Knife	4	Financing	11
Inventory	**3,5**	**Depreciation**	**1**
		Interest payable 0,5	
		TOTAL LIAB. & EQUITY 16,5	
		PROFIT	**3**
TOTAL ASSETS 19,5		**TOTAL**	**19,5**

+ Income Statement -			
Purchase of bread	2	Sale of sandwiches	11
Purchase of ham	8	**Ending inventory**	**3,5**
Depreciation	**1**	**TOTAL REVENUES 14,5**	
Interest expense	**0,5**		
TOTAL EXPENSES 11,5			
PROFIT	**3**		
TOTAL	**14,5**		



Values: Monetary and non-Monetary

When should a transaction be recorded?

There are several moments during an exchange process:

- negotiation,
- contract,
- implementation,
- invoicing,
- payment,
- end of warranty

➔ The invoice contains all the information necessary to objectively determine the amount of the change in cash or credit that will arise from the exchange.

For this reason, in accounting language this moment is defined as the **"M.M.C." (Moment of Monetary or Credit variation)**

Preparing the Financial Statements: Monetary vs Non-Monetary Items

- **Numerical values**: are those values that express **trade settlement instruments**. These are essentially cash and bank current accounts (if settlement is immediate) and settlement receivables and payables (if settlement is deferred). Changes in numerical values are called numerical variations. In particular:
  - if settlement is immediate, the cash variation is a cash outflow;
  - if settlement is made by incurring a debt, the cash change is reflected in the recognition (or increase) of a debt to suppliers;
  - if the settlement is made by offsetting pre-existing receivables, the cash change is the corresponding reduction in receivables from customers.
- **Non-numerical values**: all other values related to the subject of the negotiation. The corresponding non-cash variations express the meaning of:
  - a **change in a production condition** (BS);
  - a **change in a positive or negative income component** (IS)

Numerical values: certain values, estimates, and conjectures

- **Certain values**: incontrovertible data expressing phenomena (costs, revenues, investments) generally reported in specific documents (invoices)
  - Arise as a result of exchange
- **Estimated or similar values**: approximate estimates of economic quantities that are not yet known with certainty (e.g., estimates of warehouse stock levels).
  - ≠ forecast (e.g., estimation of energy consumption based on the number of light fixtures installed rather than through direct metering)
- **Conjectured or presumed values**: "imagined" values, the result of calculations based on "fictitious assumptions," useful for economic investigation purposes (e.g., depreciation rates)



Appendix

Appendix

- Initial recognition of items: Historical Cost and Fair Value
- Impairment Test
- Depreciation of long-term assets
- The depreciation process
- Accruals and deferrals
- Provisions for risks and charges: the prudence principle
- Employee severance indemnity

Assets: initial recognition of items

Items can be recorded in the financial statements using the **cost model** (at historical purchase cost) or the **revaluation model** (fair value).

HISTORICAL COST: the price that the company actually paid to acquire the resource or the monetary value of the factors consumed in creating a resource.

FAIR VALUE: the price at which an asset can be traded on the market

INITIAL SUBSCRIPTION

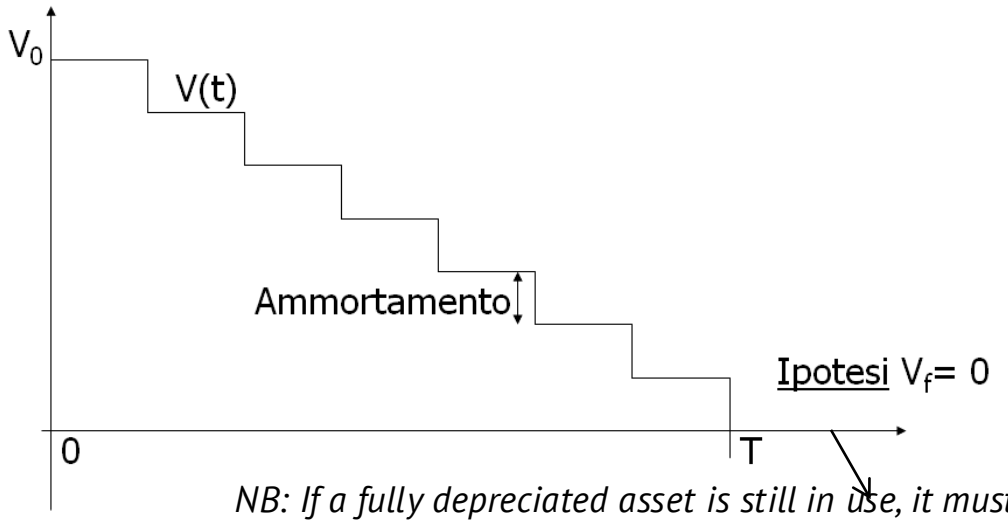


Note: IAS/IFRS allow companies to choose the model to apply, distinguishing for each item between**: BT – Benchmark Treatment**, and **AT – Allowed Treatment.**

Historical cost method

MULTI-YEAR assets are purchased at a specific point in time (initial entry in the financial statements), but are used for N years of **useful life** (the period during which the resource can generate income within the company).

To comply with the **accrual principle**, **depreciation** is considered: a fictitious cost (income statement), which corresponds to the portion ideally "consumed" by production or "depreciated" due to technological obsolescence.



BS IS

Value of the asset at time t

V(t) = V(t-1) – ***depreciation*** =

V(0) - ∑*Depreciation*

NB: If a fully depreciated asset is still in use, it must be indicated in the Notes to the Financial Statements.

Fair Value Method

FAIR VALUE is the amount at which an asset can be exchanged or a liability settled in a transaction between independent, knowledgeable, and willing parties. It **reflects objective values external to the company**, linked to the knowledge and estimates of sellers and buyers → **MARKET VALUE**

The fair value is estimated (including through expert appraisal):

- based on a binding **sales agreement** for the asset in question
- based on values expressed by an **active market**
- based on **recent transactions** similar in type to the one being valued

Annual assessment
FV(t) = price that a potential buyer is willing to pay in t
If FV (t) > V (t-1) → REVALUATION
If FV (t) < V (t-1) → DEVALUATION

BS	*FV (asset value)*
IS	*FV – V (revaluation reserve)*

Impairment test

- Periodic assessment (one-off), to be carried out when the asset shows a **loss in value that is deemed to be permanent** (unrecoverable loss).

  - ✓ *Decline in market value*
  - ✓ *Negative trends in technology, the market, the economy, laws...*
  - ✓ *Obsolescence or physical damage*
  - ✓ *Worse-than-expected economic results*

- **The impairment test** identifies **the recoverable value** of the asset as the higher of **Fair Value (FV)** and **Value in Use (VU).**

present value of expected cash flows arising from the use of the asset and its disposal at the end of its useful life

Depreciation of assets with a useful life of multiple years

- As these are multi-year assets (or fixed assets), the purchase cost of these assets must be included under Assets in the balance sheet.
- It is therefore necessary to spread the cost of the asset over several financial years through the **process of depreciation**, i.e., the process of allocating the purchase (or production) cost over the period in which the fixed assets (tangible or intangible) have contributed to the company's production process
- Each business will receive a share of the cost (**the depreciation expense**) proportional to the benefit received, calculated as follows:

The Depreciation Process

Year	Opening Book Value (€)	Depreciation Expense (€)	Accumulated Depreciation (€)	Closing Book Value (€)
0 (purchase)	—	—	0	100,000
1	100,000	20,000	20,000	80,000
2	80,000	20,000	40,000	60,000
3	60,000	20,000	60,000	40,000
4	40,000	20,000	80,000	20,000
5	20,000	20,000	100,000	0
Total		**100,000**		

Example: asset purchased for €100,000, useful life 5 years, straight-line depreciation (residual value = 0). Annual depreciation = €100,000 / 5 = €20,000.

Accruals and Deferrals

- These are costs and revenues that accrue over time and fall across two accounting periods, for which it is necessary to recognize accruals (for payments in arrears) or deferrals (for payments in advance) in the Balance Sheet in order to comply with the accrual principle.
- *Deferrals* are portions of **costs (prepaid expenses)** and **revenues (deferred income)** that relate to the **next accounting period** but have already had an economic effect in the current period. For example: the portion relating to the following year of a semi-annual interest payment made in advance (either interest income or interest expense) that falls across the year-end.
- *Accruals* are portions of **costs (accrued expenses)** and **revenues (accrued income)** that relate to the current closing period but have not yet generated an economic (cash) effect. For example: the portion relating to the closing year of a semi-annual interest payment made in arrears (either interest income or interest expense) that falls across the year-end.

The preparation of the financial statements: Year-end accounting adjustments

Accruals and deferrals (portions of costs and revenues spanning two or more accounting periods)

Prepaid Expenses (Deferred Cost)	Cost paid in current period but relating to next period	Prepaid expense (Asset)	Cost deferred to next period	Insurance premium paid in advance for next year
Deferred Income (Deferred Revenue)	Revenue received in current period but earned in next period	Deferred income (Liability)	Revenue deferred to next period	Rent received in advance for next year
Accrued Expenses (Accrued Cost)	Cost incurred in current period but not yet paid	Accrued expense (Liability)	Cost recognised in current period	Interest on loan, payable in next period
Accrued Income (Accrued Revenue)	Revenue earned in current period but not yet received	Accrued income (Asset)	Revenue recognised in current period	Interest on loan receivable, collected next period

Provisions for risks and charges: the prudence principle

- If, at the end of the financial year, it is believed that a receivable will become (at least partially) uncollectible, it is necessary to write down that receivable.
- These are **estimated losses** due to the uncollectibility of a portion of the receivables existing at the end of the financial year, as the loss has not yet occurred. The amount of the estimated losses is therefore the result of an estimate.

As of December 31, the following are recorded:

- among the negative income components, an "**Allowance for expected credit losses**" for the portion that is presumed to become uncollectible;
- in the liabilities section of the balance sheet, an "**Allowance for expected credit losses**". This is an adjustment provision that will reduce the value of receivables from customers shown in the assets section of the balance sheet.

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Employee severance indemnity (TFR)

- Severance pay represents the severance indemnity accrued during the financial year by each employee of the company and which must be paid when the employee terminates their employment relationship with the company. It is, to all intents and purposes, **a component of labor costs**, even if the compensation is paid on a deferred basis.

It will therefore be necessary to recognize:

- Among the negative income components, a **"provision for TFR"** for the amount accrued during the period;
- in the liabilities section of the balance sheet, a "**TFR fund**", which represents a real debt toward employees, even though the due date is not known in advance (as it will coincide with the termination of the employment relationship).